Public Policy 2024-2025 Re-Exam

March 24, 2025, 13:00-16:00

The maximum score of the re-exam is 140 points. To pass Public Policy, you must achieve a minimum score of 70 points. Your re-exam grade, rescaled to a 0-200 scale, will be your final course grade (overriding all previous results from the mid-term exam and the final exam). The re-exam consists of three parts:

I. One broad question (with four sub-questions, of which you must answer only three) to be answered in the form of a short essay comprising roughly 600-800 words (~2.5 pages DIN A4). The maximum score is 60 points (20 points per each sub-question). Be as brief and clear as possible! Good examples and the capacity to make (valid, useful) connections between different course topics will yield originality points.

II. Six short questions (of which you must answer only five) to be answered in a few sentences. Each response shouldn't be longer than roughly 150 words (~½ page DIN A4). The maximum score is 60 points (12 points per question). Be as brief and clear as possible!

III. Ten multiple-choice questions. The maximum score is 20 points (2 points per question).

Exam Rules:

- The maximum duration of the re-exam is 3 hours. You may submit your responses whenever you are done.
- The re-exam is "open-book," which means that you may use all course-related material, including the material on e-learning. Respondus will grant you access to e-learning and to the readings.
- No electronic devices other than the computer on which you are writing the re-exam are allowed.
- The re-exam is *not* teamwork. During the re-exam, any communication with third persons, whether electronically or face-to-face, is strictly prohibited.
- In Parts I and II of the re-exam, if you cite passages e.g. from the readings or the course slides, you must put the cited text into quotation marks ("xyz") and provide the name(s) of the author(s). There are no further format requirements. For instance, you don't need to write "(Fleurbaey & Blanchet, 2006, p. 20)" after citing Fleurbaey and Blanchet, and you don't need to put a reference list at the end of your responses. Unmarked copy-pastes from the readings or course slides will be treated as plagiarism.
- In Parts I and II of the re-exam, any answer beyond what is required (the fourth question answered in Part I, the sixth question answered in Part II) is a waste of time and will not be taken into consideration for grading.

You will be notified with the re-exam grade no later than April 7, 2025. **Good luck!!**

Part I: Long essay-type question (max. 60 points, 600-800 words limit)

[with material from "Why Germany Wants to Loosen Its Debt Brake," *The New York Times*, March 18, 2025]

On Tuesday [March 18, 2025], the German Parliament has approved a plan to loosen government borrowing limits in order to spend heavily on defense and infrastructure, in an effort to offset America's pivot away from Europe and to lift the country out of years of economic stagnation.

The measure will radically reorient Germany's relationship to government debt — and, its authors hope, allow Germany to shoulder a more powerful leadership role at a critical moment for Europe.

The center of the plan is a push led by Friedrich Merz, the likely next chancellor, to relax what is colloquially known as the "debt brake," a limit on government borrowing that Germany enshrined in its Constitution.

That brake has reduced German debt, but it has also kept the government from investing in roads, software, bridges, tanks and other areas. Lawmakers say that spending is now urgently needed to address declining German competitiveness and shrinking American security guarantees.

Here is a quick guide to the debt brake, how Mr. Merz and his allies want to change it, and the challenges they will face.

What is the debt brake?

Like most wealthy nations, Germany borrows money to help balance its annual federal budget. But unlike some peers, most notably the United States, Germany has a Constitution that limits its yearly borrowing to just 0.35 percent of the country's gross domestic product. There are exceptions for economic downturns and natural disasters.

German lawmakers have voted in recent years to circumvent the limits with some special pots of money, including emergency pandemic spending starting in 2020 and a recent bump in military spending. But by and large, the debt brake has constrained borrowing.

In 2009, when the debt brake was introduced, Germany, the United States and Britain had roughly similar levels of debt as a share of their economies. Since then, that share has soared in Britain and America, but fallen in Germany.

Why does Germany have it?

The debt brake was added to Germany's Constitution after the country's budget deficit grew during the 2008 financial crisis. It became a signature economic policy and a point of national pride.

But the country's aversion to large deficits and debt predates the crisis. Its leaders borrowed heavily to help smooth reunification between West and East Germany in the early 1990s, with mixed economic effects. More notoriously, high government debt helped drive hyperinflation in the Weimar government of the 1920s, aiding the rise of Hitler.

That historical trauma has remained a neuralgic pain that has defined the public and political debate around government debt in Germany for generations.

Why change it now?

The debt brake didn't just depress borrowing. Its critics say it also handcuffed German's ability to spur its economy, invest in its future and lead in European security affairs.

German spending has lagged well behind its needs to upgrade its transportation networks, digitize its public services and make a host of other investments essential to its global competitiveness.

The country's net public investment has been negative for the last 25 years, holding back economic growth, said Marcel Fratzscher, the president of the German Institute for Economic Research [= a publically funded, non-profit research institute].

The brake was also a major reason German lawmakers spent relatively little on their military for decades, under the belief that the United States would continue to protect their country as it has since the end of World War II.

"It's now or never for a big spending increase," Mr. Fratzscher said.

Even officials at Germany's staid central bank, the Bundesbank, have called for changes to the debt brake to free up money for government investment to drive growth.

"Rarely in Germany's postwar history has government investment been as necessary as it is today — and rarely since reunification have the potential returns been so promising," economists at the Deutsche Bank Research Institute wrote last week. "Germany has successfully used the good years of the past decade to create fiscal flexibility for more challenging times. And times will likely remain challenging for the rest of the decade."

After resisting calls for debt-limit changes during the recent election campaign, Mr. Merz, of the center-right Christian Democrats, now says the brake must be changed. So do many center-left lawmakers.

"The reform of the debt brake is of central importance in view of the epochal change that the U.S.A. is no longer Germany's reliable ally," Anton Hofreiter, a member of Parliament for the Green Party, said in a text message this week.

With it, he said, "It is now possible to finance satellites, intelligence services, cyberdefense and support for Ukraine alongside the urgently needed upgrading of the Bundeswehr" — the German military.

What changes are lawmakers contemplating?

The agreement Mr. Merz struck with the Greens and the center-left Social Democrats will create an exemption from the debt brake for all spending on defense above 1 percent of gross domestic product. It will define “defense” broadly, to include domestic intelligence, aid to allies and other measures alongside weapons purchases. Effectively, Germany lawmakers can borrow whatever sums the government bond market will allow to fund those items.

Mr. Merz also agreed to create a new infrastructure fund of 500 billion euros spread over 12 years, outside of the debt brake’s limits. Of that, €100 billion will be earmarked for projects to fight climate change.

What are the chances they succeed?

Good, but hurdles remain.

Having decided to change the Constitution to allow extra borrowing, Mr. Merz has taken the unusual step of passing the measure in the final days of a lame-duck [= outgoing] Parliament, before he can even become chancellor.

Mainstream parties will no longer hold a supermajority in the newly elected parliament, with the far-right Alternative for Germany and far-left Die Linke together holding more than a third of the seats. The two parties would have almost certainly blocked Merz’s proposed changes.

On Tuesday [March 18, 2025], with the help of the Greens and Social Democrats, Mr. Merz won the support of 513 lawmakers, 24 more than the two-thirds majority needed to change the Constitution.

The change will still need to be approved by the Federal Council of the States [= Germany’s second federal legislative chamber] before it can go into effect. That, too, could turn out to be very close.

Even then, the plan faces legal challenges, including from the far-right. Courts have refused to stop the vote thus far. Lawmakers from the three big centrist parties supporting the package say they are confident they will prevail.

(***Select and answer **three** out of the following questions. Inform your answers using relevant material from the lectures and from the required readings.***)

1. Applying Kingdon's Multiple Streams Framework, explain Mr. Merz's push to loosen the debt break at this particular moment. (20p)

2. Identify and discuss two key challenges that could hinder the successful implementation of the proposed changes to Germany's debt policy. For each challenge, suggest a strategy that might be used to overcome it. (20p)

3. "The loosening of the debt break is a great example of evidence-based policymaking!" Discuss this claim. (20p)

4. Assuming the constitutional amendment will come into effect, discuss its potential impact on the social goals of efficiency and fairness. (20p)

Part II: Short essay-type questions (max. 60 points, 150 words limit per question)

(***Select and answer **five** out of the following questions. Inform your answers using relevant material from the lectures and from the required readings ***)

1) Explain the term "policy-based evidence-making" and provide one example. (12p)

2) How would a utilitarian evaluate progressive income taxation? Explain. (12p)

3) "Cost-benefit analysis is a bullet-proof method to assess whether the *Rail Baltica* project is welfare-enhancing." Discuss. (12p)

4) You are advising your government on policy initiatives to reduce the shadow economy. In your view, which governance principle – Nodality, Authority, or Treasure – offers the most effective policy instruments for this purpose? (12p)

5) How can bureaucrats act as veto players during a populist takeover of the government? How likely is it that their veto strategy will succeed? (12p)

6) Explain the key differences between a horizontal a vertical approach to AI regulation. (12p)

Part III: Multiple-choice questions (max. 20 points)

1) Under radical uncertainty, the Minimax regret decision rule… (2p)
   a. Maximizes the worst possible payoff to ensure the best outcome.
   b. Aims to minimize the maximum possible regret from a decision.
   c. Focuses exclusively on risk-neutral choices.

d. Will always yield a Pareto improvement.

2) The agenda-setting power of traditional mass media is highest if… (2p)
   a. Elites are strongly divided on a low-salience issue.
   b. Elites are strongly divided on a high-salience issue.
   c. Social media fail in their role as gatekeepers.
   d. Regular people care a lot about some issue.

3) Which of the following statements about randomized control trials (RCTs) in public policy is false? (2p)
   a. RCTs are designed to solve the attribution problem by isolating the effect of a policy intervention while keeping all confounding factors as stable as possible.
   b. RCTs effectively prevent the possibility that a treatment is harmful for some parts of a population even as it creates a benefit on average.
   c. Abhijit V. Banerjee and Esther Duflo won the 2019 Nobel prize in economic sciences for their development of RCTs to address poverty.
   d. Low external validity is an important limitation in RCT-based policy evaluations.

4) Which of the following statements best describes interest group pluralism? (2p)
   a. It is a governance model where access to advocacy coalitions is awarded to the highest bidder in a marketplace of ideas.
   b. It is a governance model in which interest groups operate predominantly through direct lobbying of political leaders.
   c. It is a governance model where a small number of powerful interest groups compete to influence policymaking.
   d. It is a governance model that reflects the goal of power concentration typical for Westminster democracies.

5) Which of the following statements about secondment in international organizations is false? (2p)
   a. Secondment allows national civil servants to gain valuable insights into supranational policy processes, which they can apply upon returning to their home institutions.
   b. Secondment is often used by organizations like the EU to strengthen ties between national and supranational administrations, integrating expertise from diverse national contexts.
   c. National administrations frequently leverage the skills and networks developed by seconded officials to enhance their own policy capabilities upon their return.
   d. For many civil servants, secondment is a one-way exchange, where skills gained in international settings are undervalued or underutilized in their home agencies.

6) Which of the following statements about the Advocacy Coalition Framework is false?
   a. There are opportunities for major policy change if coalitions change their policy core beliefs due to events that are external to the subsystem.
   b. Policy brokers are actors with intrinsic motivations to appease rivaling coalitions.

c. The ‘devil shift’ describes the process of reducing distrust, overcoming loss anxiety, and correcting exaggerated perceptions of opponents’ power, ultimately facilitating policy change.
d. Beliefs, rather than interests, bind the actors within a coalition.

7) The concept of policy transfer describes… (2p)
   a. The patterns how political forms of knowledge develop within a political system.
   b. The process by which governments borrow and adapt policies from other countries.
   c. The automatic diffusion of policies without any deliberate decision-making by policymakers.
   d. The direct imposition of policies by international organizations on national governments.

8) In countries where New Public Management (NPM) reforms have been implemented, which of the following trends has typically been observed?
   a. An increase rather than a decrease in regulations related to public service delivery.
   b. The successful elimination of principal-agent problems in the bureaucracy.
   c. A significant reduction in privatization and outsourcing of public services.
   d. Consensus democracies shifting to resemble Westminster-style systems.

9) Welfare state retrenchment is best understood as… (2p)
   a. A strategy used exclusively by populist leaders to dismantle social protection systems.
   b. The increasing influence of John Rawls’s ‘Difference Principle’ in contemporary welfare state reform.
   c. A temporary reduction in welfare benefits that is typically reversed once macroeconomic conditions improve.
   d. A policy effort to reduce the scope, generosity, or eligibility of welfare programs.

10) Which policy is most likely to result in a Pareto improvement? (2p)
   a. Constructing a taxpayer-funded road tunnel to bypass a congested city center, projected to save 20 lives per year without causing any time losses compared to the status quo.
   b. Encouraging private investment by imposing a ‘windfall tax’ on the profits of banks who fail to meet government-set lending targets.
   c. Removing tariffs on a good that is exclusively imported and not produced domestically.
   d. Replacing the system of agricultural subsidies with a system of income supplements for poor farmers.